

May June 2021 v13

1-C:

A: Even when milk is provided at a zero cost by government, it is not a free-good as free-goods are unlimited in supply, because of which no opportunity cost is involved. Milk does involve the basic condition of scarcity; therefore, it cannot be a free-good. This is why, it is incorrect.

B: We cannot upon the fact that milk is an inferior good or not, as we are not provided with the information of income-elasticity of demand; in-order for it to be an inferior good, it should have a negative value of income-elasticity of demand. This is why this is incorrect.

C: Milk is a private good as the government must have involved a transaction and would have paid for it to be able to provide for free to poor children. This can be described as 'rival' in a sense that an individual drinking a glass of milk can reduce the amount available for others to consume it, and 'excludable' as **when others for example: those who are not on low incomes are charged, payment by an individual will restrict others from consuming it**. This is why this is correct.

D: Milk is not a public good as it is rival and excludable in nature, this is explained above as it can be described as 'rival' in a sense that an individual drinking a glass of milk can reduce the amount available for others to consume it, and 'excludable' as **when others for example: those who are not on low incomes are charged, payment by an individual will restrict others from consuming it**. This is why, this is incorrect.

2-D:

A) China has never had a balance of payments surplus: This statement is a factual claim about China's balance of payments history. It is not expressing a value judgment or subjective opinion, so it is not a normative statement.

B) Higher interest rates might reduce investment: This statement is a positive statement that presents a cause-and-effect relationship. It suggests that there is a possibility that higher interest rates can lead to a reduction in investment because of a **rise in costs of borrowing**. It is based on empirical analysis and does not express a value judgment, making it a positive statement, not a normative one.

C) Perfect competition is allocatively efficient: This statement is a positive statement that describes the characteristics and outcomes of perfect competition. It states that perfect competition is allocatively efficient, which is an objective analysis of the market structure.

D) Welfare payments should be increased: This statement is a normative statement because it expresses a value judgment or subjective opinion. It suggests that welfare payments should be increased, which implies a desired policy action. Normative statements involve subjective preferences, opinions, or value judgments about what should or should not be done.

3-D:

A) Enterprise: While enterprise involves taking risks and organizing production, it refers to the action of initiating and managing a business rather than being the specific reward for doing so. Profit is the outcome that incentivizes entrepreneurs to take on the risks and responsibilities associated with organizing production.

B) Interest: Interest is the reward paid to capital

C) Wages: Wages refer to the compensation paid to workers for their labor and time.

D) Profit: Profit is the residual income that remains after deducting all costs, including labor, capital, and other expenses, from the total revenue generated by a business. It serves as the reward for taking risks and successfully organizing production. Entrepreneurs bear the uncertainty and risks of business ventures, and profit acts as an incentive for their efforts.

4-D:

A) This option is incorrect. It assumes that it is not possible to have multiple currencies within a country, which is not accurate. In reality, there are examples of local currencies coexisting with national currencies in various regions around the world.

B) No, because they are not generally acceptable outside of Brixton: This option is incorrect. While it is true that the Brixton pound may not be widely accepted or recognized outside of the Brixton area, the general acceptability of a currency does not determine its status as money. For it to function as money, **it is imperative for it to fulfill all the functions of money : medium of exchange, unit of account , store of value and standard of deferred payment.**

C) While the willingness of some shopkeepers to accept the Brixton, pound is a positive factor, it alone does not determine whether it should be considered money. Although acceptability is an important characteristic, it solely does not lead to the pound to function as money. Let's take an example of an ice-cube, and imagine a situation that local shopkeepers are willing to accept it. Will the particular ice cube be regarded as money just because of its acceptability? The answer is "No". For it to function as money, it must fulfill all functions of money , as stated above

D) Yes, because they fulfill all the functions of money: This option is correct. For something to be considered money, it typically needs to fulfill certain functions. These functions include serving as a medium of exchange, a unit of account, and a store of value and standard of deferred payments. If the Brixton pound fulfills these functions within the local Brixton community, it can be considered a form of money for that specific context.

The Brixton pound, although limited in its scope and acceptance compared to the national currency, can still function as a medium of exchange within the local economy. **It serves as a means of facilitating transactions between individuals and businesses in Brixton. As long as it effectively facilitates exchanges , which is done so because of its ability to express the prices of goods and services in the currency (unit of account) and retains its value (store of value) , which also enables it to perform credit transactions(standard of deferred payments), it can be considered a form of money within that specific locality.**

5-C:

When stating the law of demand for the good, all other factors affecting demand, **for example: incomes ,prices of other goods, tastes of consumers ,**that cause a shift , are held to be constant to fulfill the condition of "ceteris paribus"

It is price of the good(option C) that can be varied, thus making this option correct.

6-C:

A) A change in technology: A change in technology can lead to a shift in the market supply curve of a commodity. Technological advancements can improve production processes, increase efficiency, and lower costs, which can result in a rightward shift in the supply curve.

B) A rise in the price of a factor input: An increase in the price of a factor input, such as labor or raw materials, can lead to a decrease in the supply of a commodity. As a result, the market supply curve shifts to the left, indicating a decrease in supply.

C) A rise in the price of the commodity: This is the correct answer. A rise in the price of the commodity itself does not cause a shift in the market supply curve. Instead, it is responsible for causing an extension in qty supplied.

D) The introduction of a specific tax on the commodity: The introduction of a specific tax on the commodity can lead to a shift in the market supply curve. Indirect taxes increase the costs of production and therefore cause a decrease in supply, leading to a leftward shift in the supply curve.

7-B:

A) The product has a low opportunity cost: This option is incorrect because the concept of opportunity cost refers to the cost of choosing one option over an alternative. It is not directly related to the price elasticity of supply. The opportunity cost does not determine the responsiveness of supply to changes in price.

B) The product is highly perishable: This option is correct. When a product is highly perishable, it means it has a limited shelf life or durability. In such cases, suppliers face constraints in stockpiling or storing the product for an extended period. This perishability reduces the flexibility of supply and makes it less responsive to changes in price. Suppliers cannot easily adjust their supply levels in response to price changes, resulting in a low-price elasticity of supply. **This makes the supply inelastic in response to changes in demand.**

C) The product is classed as an inferior good: This option is incorrect. The classification of a product as an inferior good is not directly related to the price elasticity of supply, which focuses on the responsiveness of suppliers to changes in price. Instead, it is related with income.

D) The product is considered to be a necessity: This option is incorrect. While products that are considered necessities tend to have inelastic demand (meaning the quantity demanded is not very responsive to price changes), it does not directly determine the price elasticity of supply. The price elasticity of supply measures the responsiveness of suppliers to changes in price, not the demand side.

This is why, option B becomes correct.

8-D:

- 8 A car manufacturer estimates that the price elasticity of supply of its cars is +2.5.

What will be the impact of a 10% increase in price?

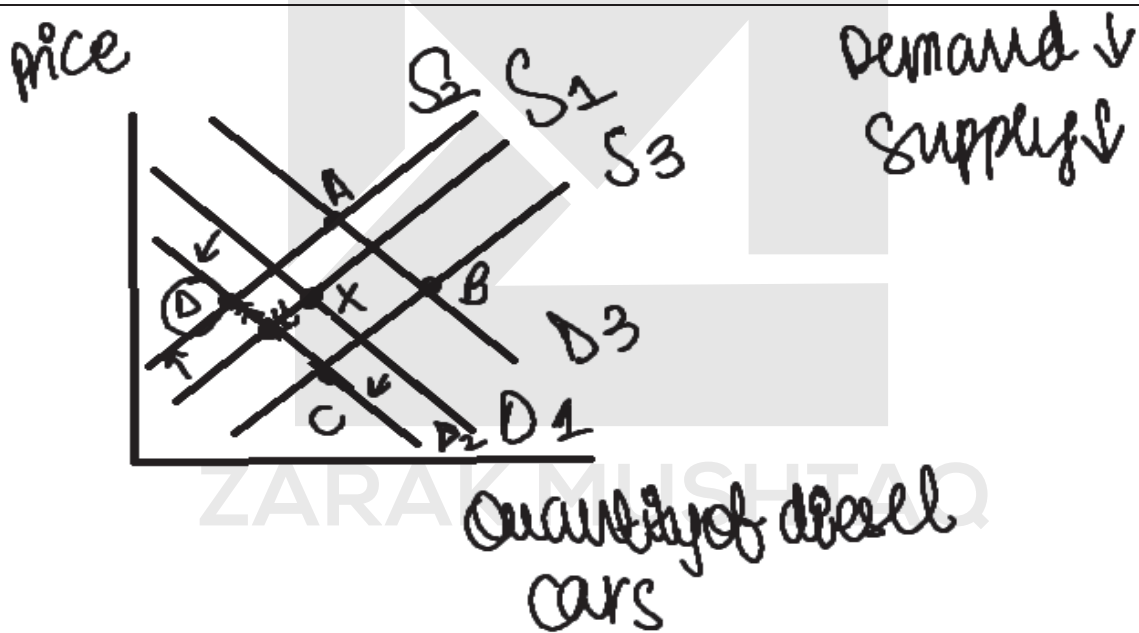
- A a 2.5% fall in total revenue
- B a 25% rise in total revenue
- C a 2.5% fall in quantity supplied
- ☒ D a 25% rise in quantity supplied

$$PES = \frac{\% \text{ change in QS}}{\% \text{ change in price}}$$

$$+10\% \times 2.5 = 25\%$$

A 25% rise in quantity supplied

9-D



A successful advertising campaign of electric cars that is a substitute to diesel cars will result in consumers reducing demand for diesel cars, and switching to electric cars. This will lead to a leftward shift in the demand curve of diesel cars. Whereas, a new unit tax on diesel cars will lead to an increase in cost of production of diesel cars, in turn resulting in a leftward shift in the supply curve for diesel cars. This will result in a new equilibrium point to be achieved from X to D.

10-A:

Option A, "the \$10m loan used to finance the project," is correct and not classified as a factor of production, while the other options are incorrect. Here's an explanation:

A) The \$10m loan used to finance the project: This option is correct. In economics, factors of production refer to the resources or inputs used in the production process. These typically include land, labor, capital, and enterprise. While the loan is essential for financing the project, it is not considered a factor of production itself.

B) The land on which the bakery will be built: This option is incorrect. Land is a factor of production as it represents one of the essential resources used in the production process.

C) The ovens required to bake the bread: This option is incorrect. The ovens required to bake the bread are considered capital, which is a factor of production. Capital refers to the physical tools, equipment, machinery, and infrastructure used in the production process.

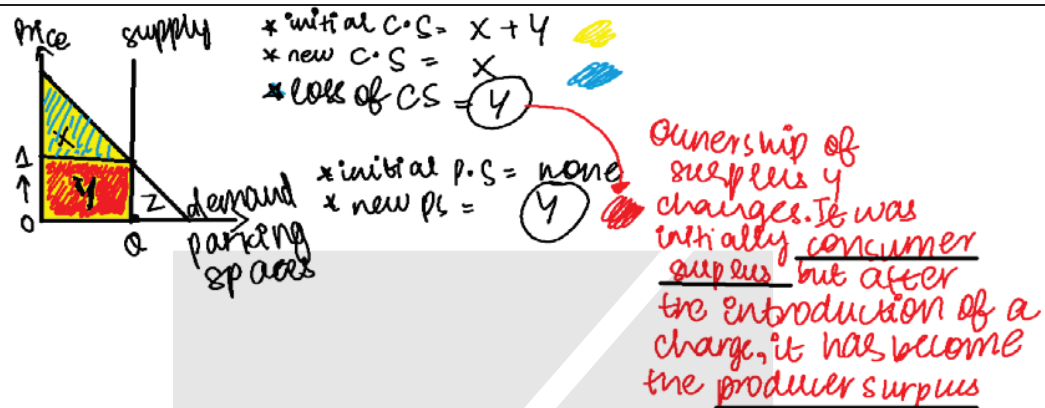
D) The soya used in the making of the bread: This option is incorrect. Soybeans, as a key ingredient used in the production of bread, would be classified as a factor of production. In this case, it falls under the category of land or natural resources since it is a primary input in the production process.

11-D:

1. Incomes Up: When incomes increase, it generally leads to higher disposable income for individuals. As a result, the demand for goods and services, including housing, tends to rise. **This increased demand for housing puts upward pressure on prices as more people can afford to purchase homes.** As housing demand increases, there is a greater need for construction workers, including bricklayers, to meet the rising demand for new housing projects.
2. Interest Rates Down: When central banks decrease interest rates, it becomes cheaper to borrow money **and borrowing increases to "finance big ticket items such as houses,"** Reduced borrowing costs encourage more people to take out mortgages or loans for purchasing homes, increasing the demand for housing. **This increased demand for housing puts upward pressure on prices as more people can afford to purchase homes, also leading to a rise in qty traded.**
3. Wages of Bricklayers Unchanged: In the given scenario, if the wages of bricklayers remain unchanged, it implies that there is no increase in the cost of hiring bricklayers. Had these wages increased, there would have been a fall in supply of houses and in turn a rise in prices, and a fall in equilibrium qty.

When these factors combine, the rise in incomes and the lower cost of borrowing (due to reduced interest rates), the demand for housing increases.

12-C:



A-The landowner only gains a surplus of Y

B: The motorist does not gain surplus, instead he loses a surplus worth Y

C: As can be seen above, it is true that the ownership of surplus Y changes, thus making this correct.

D: The total value of combination of producer surplus and consumer surplus is $X+Y$. Z is not included since the supply of parking field is fixed.

13-C:

13 The table gives information about the market for two models of car.

model	number of cars sold per week	cross elasticity of demand with respect to the price of petrol
1200 cc	10 000	-0.25
2000 cc	5 000	-0.50

If the prices of the cars remain unchanged, but the price of petrol increases by 100%, what will be the effect on the number of cars sold per week?

- A increase by 5000
- B no change
- ☒ C decrease by 5000
- D decrease by 15 000

* Decreased by 5000

* Price of petrol rises, this means qty of cars demanded contracts.
 * This is because of a -ve relationship b/w the price of a good and qty demanded of another.

* Total cars now $\Rightarrow 7500 + 2500 \rightarrow 10,000$

Complements

1200 CC cars $\rightarrow$
 * % change in demand = -0.25
 * % change in price of petrol = $+100\%$
 $\Rightarrow -0.25 \times 100\% = -25\%$
 $\Rightarrow 75\% \times 10,000 \rightarrow 7500$
 decreases by 25%.

2000 CC $\rightarrow$
 $-0.50 \times 100\% = -50\%$
 $\Rightarrow 50\% \times 5000 = 2500$
 decreases by 50%.

14-D:

A) Many goods can be beneficial to consumers, for example: private goods such as cars, but that does not mean the government has to provide them directly **always**.

B). While there may be goods whose production is considered harmful, **which include de-merit goods for example :alcohol , the government may never engage in its production due to the negative spillover effects that they generate.**

C) High opportunity costs associated with the production of certain goods do not directly imply the need for government provision. Opportunity costs represent the trade-offs in allocating resources, but they do not specifically address the issue of government involvement in providing goods.

D) These products are non-rival in consumption and non-excludable: This option is correct. The argument for direct government provision is most convincing when the goods in question are non-rival in consumption and non-excludable , **representing “public goods”**. Non-rivalry means that one person's consumption of the good does not reduce its availability for others. Non-excludability means that payment by one individual does not exclude individuals from accessing or benefiting from the good, even if they do not directly contribute to its provision, and even the non-tax payers get to benefit from it, which in turn gives birth to “free rider problem”

Public goods, which exhibit the characteristics of non-rivalry and non-excludability, are often cited as examples of goods that require direct government provision. Examples include national defense and street lighting. Due to the nature of these goods, private markets may never provide them which leads to a **market failure**, leading to the need for government intervention **to rectify the market failure**.

15-C:

A) When the provision of rail services is switched from the private sector to the public sector, it does not necessarily mean that the average fare charged for the service will fall. **While public sector may strive to provide transport services at lower fares to increase accessibility, this may not be the definite outcome.**

B) Switching the provision of rail services from the private sector to the public sector does not necessarily mean that the profitability of the service will fall , **(although, generally it is thought that public sector firms may be inefficient due to lack of incentives inform of profits)**

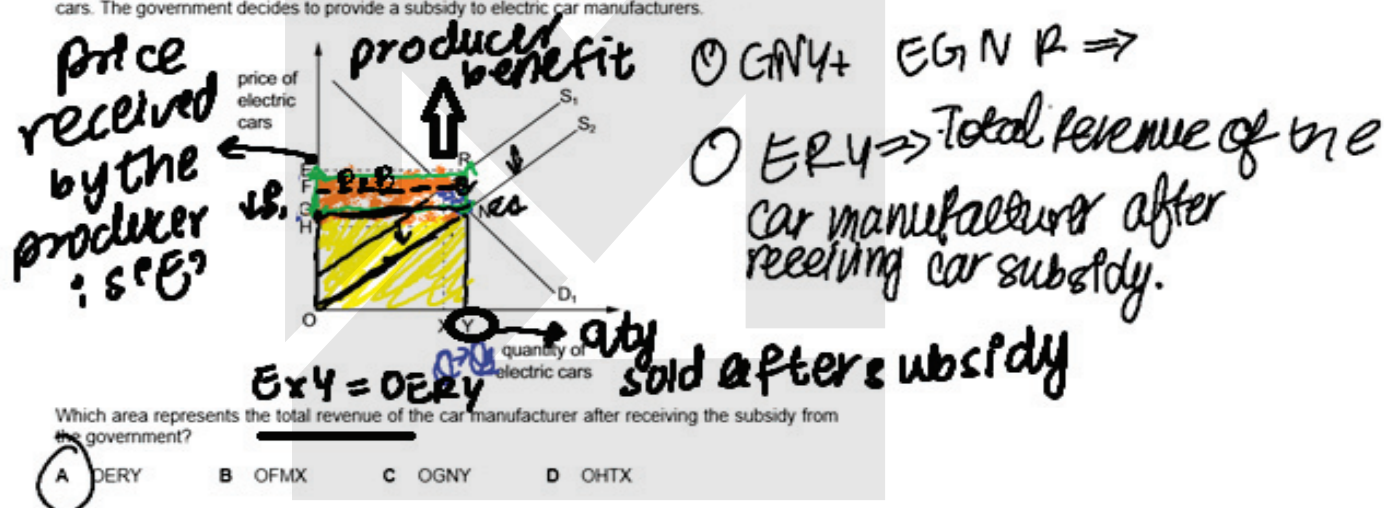
Profitability depends on a range of factors, including operational efficiency, and cost management.

C) The rail service's management will be responsible to different owners: This option is correct. When rail services are transferred from the private sector to the public sector, the ownership structure changes. In the private sector, the rail service is typically managed and accountable to private owners or shareholders who seek to maximize profits. In the public sector, the rail service becomes accountable to the government or public authorities representing the interests of the general public. The change in ownership often leads to different management structures and objectives.

D) There will be an increase in the number of workers employed: This option is incorrect. The switch from private to public sector provision of rail services does not necessarily lead to an increase in the number of workers employed. Although, the public sector operates with the objective of full employment, the net effect on employment cannot be determined solely based on the switch in ownership.

16-A:

16 The diagram represents the original demand curve D_1 and the original supply curve S_1 for electric cars. The government decides to provide a subsidy to electric car manufacturers.



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The price received by the producer is "E". Whereas, the quantity sold by the producer after subsidy is "Y". 'E multiplied by Y' is equal to "OERY"

17-C:

A: As a result of govt building additional housing, this will lead to a rise in demand for construction workers, and this rise in derived demand for labor, will lead to a rise in employment in the construction industry. This is why, this becomes incorrect

B: Increase in construction of additional houses will lead to a rise in demand for land to be used to build houses in towns and cities, which will lead to an upward pressure on land prices.

C: There will be a fall in rents of houses in the private sector, this is because, the increase in public sector housing, available for rent to people with low incomes, can reduce the demand and in turn put downward pressure on rents in the private sector. With more affordable housing options provided by the government, tenants may choose public sector housing over private rentals, leading to a decrease in demand for private rental properties, leading to a fall in rents. **To remain competitive, private landlords may reduce rents to attract tenants, ultimately resulting in a decline in rents in the private sector**

D: Total government spending: This option is incorrect. The construction of additional public sector housing typically requires government spending, so it is unlikely to result in a fall in total government spending

18-B:

18 Government spending for a year includes these items.

	\$m
pensions for elderly people	200
welfare payments to sick people	200
spending on hospitals	150
payment to unemployed workers	100
defence spending	100
teachers' salaries	50

What is the total of transfer payments by this government in \$m?

- A 50 **B 500** C 750 D 800

Contribution in GDP in return for their services

* Transfer payments are payments made without goods and services being received in exchange. These include: pensions, unemployment benefits, and welfare payments.

* Here, spending on hospitals, defence spending and teachers' salaries are in return for goods and services.

$200 + 200 + 100 = 500$
 pensions, welfare payments, unemployment benefits.

19-C:

A) A fall in real incomes: This option is incorrect. A fall in real incomes refers to a decrease in purchasing power due to declining wages or incomes not keeping pace with inflation. It does not necessarily result in a fall in the cost of living.

B) A fall in the inflation rate: This option is incorrect. While a fall in the inflation rate may lead to a slower increase in the cost of living, it does not cause a fall in the cost of living. **Although the rate at which prices are increasing is less, they are still increasing, representing "disinflation", thus making this incorrect.**

C) A negative inflation rate: This option is correct. A negative inflation rate, also known as deflation, occurs when the general price level declines over a certain period. In such a scenario, the cost of living is likely to fall as prices decrease

D) A reduction in direct tax rates may increase disposable income, encouraging a rise in consumption expenditure, leading to an increase in Aggregate demand and in turn a rise in general price-level, which means that it would lead to a rise in the cost of living.

20-B:

A) This option is incorrect. One of the aims of protectionism is indeed to improve the balance of trade, which refers to the difference between the value of a country's exports and imports. Protectionist measures, such as tariffs or quotas, can be implemented to restrict imports and, **potentially leading to a trade surplus and an improved balance of trade.**

B) This option is correct. Protectionism is not aimed at increasing the price of exports, as a rise in export prices would worsen the deficit, therefore contradicting with the aim of protectionism, which is to improve the "Balance of trade". In fact, protectionist measures are primarily focused on restricting imports and protecting domestic industries from foreign competition. The goal is to shield domestic industries, not to directly increase the price of exports.

C) Protecting infant industries is one of the aims of protectionism. Governments may use trade barriers to shield new or developing industries from foreign competition, allowing them to grow and become more competitive before facing international competition. The objective is to foster domestic industries and create a competitive advantage in the long run.

D) Reducing the volume of imports is a common aim of protectionism. By imposing trade barriers, such as tariffs, quotas, or import restrictions, countries can limit the inflow of foreign goods and protect domestic industries. The intention is to stimulate domestic production and reduce reliance on imported goods.

21-B:

If a country experiences a higher rate of inflation than trading partners, its exported goods will appear expensive, and since they become globally uncompetitive, there is a contraction in quantity demanded or in other words, the **volume of exports fall.**

And since, imported goods appear relatively cheaper, there is an extension in quantity demanded or in other words a rise in the volume of imports, and that too by a relatively higher percentage when the demand for them is elastic.

This is why, option B becomes correct.

22-A:

A) Borrowers would gain: A sudden rise in the price of imported oil can lead to higher inflation. **In this scenario, borrowers would gain because the real value of their debt decreases, as they have to return less in terms of purchasing power of money.** In summary, option A is the correct answer because a sudden rise in the price of imported oil causing higher inflation can benefit borrowers who have fixed-rate loans.

B) Real wages would rise: A sudden rise in the price of imported oil causing higher inflation would not result in real wages rising. Inflation erodes the purchasing power of wages, as prices increase faster than wages. If nominal wages do not keep pace with inflation, real wages (adjusted for inflation) would decrease rather than rise.

C) The balance of trade would improve: A sudden rise in the price of imported oil causing higher inflation is unlikely to improve the balance of trade. The balance of trade refers to the difference between a country's exports and imports. A rise in oil prices could lead to increased import expenditures, potentially worsening the trade balance if the country relies heavily on oil imports.

D) Unemployment would fall: A fall in Aggregate Supply arising from high import expenditures as a result of a rise in world price of oil, will lead to a shortage and a rise in general price level, representing cost push inflation, which is accompanied with a fall in real incomes i.e. incomes, output and employment **(This situation of “stagflation” represents that unemployment would rise.)**

23-A:

A) This option is correct. Lower transportation costs resulting from a decrease in world oil prices can increase the benefits a country gains from international trade. Reduced transportation costs make it more affordable to transport goods across long distances, allowing for increased trade volume and potentially expanding market access for exporters.

B) This option is incorrect. If domestic wage rates increase faster than output per worker, it can negatively impact a country's competitiveness in international trade. This may result in reduced export competitiveness and potential losses in international trade benefits.

C) Occupational immobility refers to the limited ability of workers to switch jobs or industries. An increase in occupational immobility can hinder a country's ability to adapt to changing market demands (making it more vulnerable to structural unemployment, specifically “international unemployment”) and taking advantage of international trade opportunities

D) Trading partners increase tariffs on imported goods: This option is incorrect. Higher tariffs can make a country's exports less competitive in international markets and may result in a decrease in the benefits gained from international trade. This is also incorrect because free trade does not involve the usage of tools of protectionism.

24-A:



* When the demand is "inelastic" for certain goods, even after a rise in price, due to imposition of tariff, and a fall in consumer surplus, quantity demanded contracts by a relatively smaller percentage. This means that "more of the good will be imported"

* When supply is inelastic, producers cannot respond to rising domestic demand by extending quantity supplied as effectively, and therefore, qty supplied extends by a smaller percentage.

* When more of the good is imported, higher tax revenues will be earned by the government. This is shown through the region "z"

25-B:

B) If the sum of the price elasticities of demand for exports and imports is less than 1.

Explanation: As a result of depreciation, when prices of exported goods decrease and that of imports rise, in a situation whereby the sum of price elasticities of demand for imports and exports is inelastic, that is less than 1, this would lead to an extension in qty demanded by a relatively smaller percentage, leading to a fall in export revenues, relative to import expenditures which rise since as imported goods appear relatively expensive, there is a contraction in qty demanded by a smaller percentage, due to imports of raw materials, which are faced with no close substitutes in the short-run, representing a "Balance of Trade deficit". This means that the deficit would not be improved.

A) If it is currently operating with a significant amount of unused resources: This scenario suggests that the country has the capacity to increase its production and exports, which could potentially be facilitated by a depreciation of the currency. The unused resources can be utilized to meet the increased export demand resulting from the currency depreciation, **leading to a rise in export revenues.**

C) If in the long term, the price elasticity of demand for exports should increase: If the price elasticity of demand for exports becomes more elastic in the long term, it means that the quantity demanded of exports becomes more responsive to changes in price. In this case, a currency depreciation can lead to a more significant increase in export demand, resulting in a rise in export revenues, potentially improving the balance of trade.

D) If the country uses a relatively small proportion of imports in their production process: If the country has a low import dependency in its production process, a depreciation of the currency would not lead to a rise in import expenditures as a result of imports of key components essential in the production process.

26-D:

A- A tariff results in a greater contraction in qty demanded for imported goods when the demand for the good is "elastic" (representing a higher price elasticity of demand)

B- Embargoes do not require demand to be elastic to be effective. It is a complete ban on certain goods imported in a country, in the case of which, the qty of imports is completely banned, regardless of the price elasticity of demand.

C- This statement is incorrect. Export subsidies provide financial assistance or incentives to domestic firms to promote their exports. Dumping refers to the practice of selling goods in a foreign market at a price below their production cost or the price in the home market. Anti-dumping measures are used to address this issue, such as imposing tariffs or other trade restrictions on dumped goods. **Export subsidies would in turn increase dumping as foreign governments would also heavily subsidize their exports, in response.**

D- D) Quotas are less effective than tariffs for raising government revenue: This statement is correct. Tariffs are taxes imposed on imports, and they generate revenue for the government. Quotas, on the other hand, restrict the quantity of imports allowed into a country. While quotas can have an impact on prices and trade flows, they do not generate direct revenue for the government like tariffs do.

27-B:

A) Increasing the government's budget surplus: This option is incorrect. Increasing the government's budget surplus implies reducing government spending or increasing taxes to generate a surplus. In fact, reducing government spending during a downturn can potentially exacerbate deflationary pressures by further reducing aggregate demand in the economy. **An economy can be pushed from a "deep recession" to a slump.**

B) Increasing borrowing by assisting banks to lend more: This option is correct. By increasing borrowing and assisting banks to lend more, it injects liquidity into the economy and stimulates lending activity. When interest rates are lowered to achieve this, the costs of borrowing reduce and further investment expenditure on production rises. This measure provides immediate support to boost aggregate demand and address the deflationary economic downturn.

C) Investing in long-term projects to improve transport networks: This option is incorrect. While investing in long-term projects to improve infrastructure, such as transport networks, can have positive effects on the economy in the long run, it does not provide an immediate solution to a deflationary economic downturn in the short term.

D) Switching the burden of taxation from earning to spending: This option is incorrect. Shifting the burden of taxation from earning to spending, such as reducing income taxes and increasing consumption taxes, would not boost Aggregate demand by much as where disposable incomes may be increased, the real value of incomes may decline due to rises in costs of production as a result of higher indirect taxation, which results in a greater upward pressure on prices, and this may potentially reduce consumption, making it ineffective in the face of "deflationary economic downturn"

28-A

A – The target of supply-side policies is to increase "Aggregate Supply". This can be done by increasing the "productive potential" of the economy, or because of efficiency in the factor markets, or because of a fall in the price of factor inputs. **De-regulation is a supply side policy measure, which contributes to "economic growth". It leads to a rise in Aggregate supply, as a result of which, there is a rise in real incomes(a rise in income, output and employment), thus making this correct**

B- Increasing the "money supply" represents an "expansionary monetary policy" measure.

C- More progressive taxation is a policy measure aimed to reduce inequalities. Since, it is concerned with taxes, it can be said a fiscal policy.

D- Again, decreasing the interest rate is an expansionary monetary policy.

29-D:

A) This option is incorrect. Where maximum prices may lead to prices of basic necessity goods being lowered, increasing affordability, in turn leading to a rise in consumption, it may not be effective in raising consumption, since it results in shortages, and illegal activities, as when higher prices are charged by producers in black markets, this will limit the ability of individuals to consume, making this ineffective in increasing Aggregate demand, and counteracting deflation.

B) While reducing sales taxes may reduce cost push inflationary pressures, and reduce the prices of goods and services in an economy, this may encourage consumer spending and boost aggregate demand in the short term, but it is not an effective solution to "improve confidence" in the long-term.

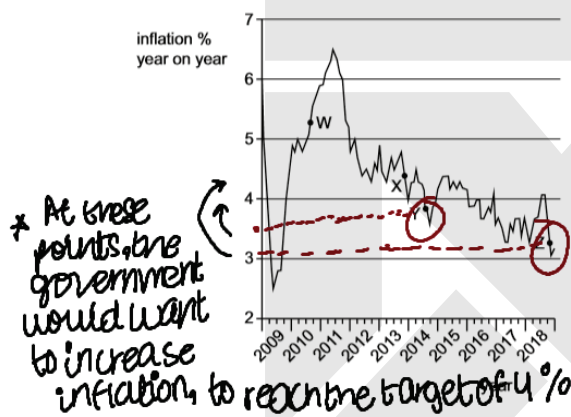
C): This option is incorrect. Increasing income tax rates and government borrowing, may not prevent deflation. Generally, during a deflationary period, when prices are falling and economic activity is sluggish, increasing income taxes can potentially have a contractionary effect on the economy. Higher income taxes reduce disposable income available to households, which can lead to

reduced consumer spending. Reduced consumer spending further decreases aggregate demand, potentially worsening deflationary pressures.

D) Removing economic uncertainty and encouraging business investment: This option is correct. Deflation often arises from economic uncertainty, low business confidence, and a lack of investment. By addressing economic uncertainty and creating a favorable environment for business investment, the government can stimulate economic activity by increasing Aggregate demand, and counteract deflationary pressures.

30-C:

30 The graph shows inflation rates over 10 years for selected emerging economies.



Government central banks set target minimum inflation rates before readjusting interest rates to stabilise the economy.

If the minimum inflation rate target set by central banks was 4% per year, at which points would they allow interest rates to fall?

- A W and X B X and Y **C Y and Z** D Z and W

Therefore, the government would use expansionary policy measures, that is, reduce the rate of interest, to boost Aggregate demand, and in turn increase price levels, to reach the target inflation rate.

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